

3 GUPPY MULTI MOVING AVERAGES

The third method to use the moving averages will be in the form of an analytical tool 'Guppy Multi Moving Averages'. Here, we combine a set of multiple short terms and long term moving averages and come up with trading signals based on their intersections. We will have 2 sets of moving averages – one short term set and another long term set. Each set has 5 or 6 moving averages. When short term set of moving averages crossover the long-term set from below, it is a bullish crossover and this indicates a long or buy signal. At the same time, when the shorter-term set crosses the longer-term set from above, it is a sell or short signal. The same has been shown in the charts that follow.

We see that GMMA is a set of multiple moving averages. An analyst can use custom values for the moving averages. However, typical values in short term moving average set are – 3, 5, 8, 10, 12, and 15 periods. The longer-term set has the following values for the variables – 30, 35, 40, 45, 50, and 60 periods. When these two sets crossover, they are used to generate entry and exit signals. Also, when we say crossover, we are referring to the crossover of the entire set and not just the intersection of a few lines.

**GROUP OF LONG TERM
MOVING AVERAGES**

**GROUP OF SHORT TERM
MOVING AVERAGES**